NATIONAL COMPANY LAW TRIBUNAL
CHANDIGARH BENCH (COURT-II), CHANDIGARH

CP (CAA) No.58/Chd/Hry/2022
(2nd Motion)
Connected with
CA (CAA) No.54/Chd/Hry/2021
(1st Motion)

Under Sections 230-232 and 234 of the Companies Act, 2013 read with Companies (Compromises, Arrangements and Amalgamation) Rules, 2016, Foreign Exchange Management (Cross Border Merger) Regulations, 2018 and other relevant provisions.

IN THE MATTER OF SCHEME OF AMALGAMATION OF:

Bibby Financial Services (India) Private Limited
(CIN: U65921HR2006PTC038291)
(PAN: AADCB0254B)
A company incorporated under the Companies Act, 1956
Having its registered office at
B-583, Sushant Lok, Phase-I,
Near Park Plaza, Gurugram-122009, Haryana
…Petitioner Company / Transferor Company

With

Bibby FS (Holdings) Limited
(Company No: 3143108)
A company incorporated under the Laws of England and Wales
Having its registered office at
3rd floor, Walker House, Exchange Flags,
Liverpool L2 3YL, England
…Non-petitioner Company / Transferee Company

Judgment delivered on: 04.12.2024

Coram: HON'BLE MR. HARNAM SINGH THAKUR, MEMBER (JUDICIAL)
HON'BLE MR. UMESH KUMAR SHUKLA, MEMBER (TECHNICAL)

Present:

For the Petitioner Companies: Mr. Pradeep Nauharia and Mr. Amit Goel, Advocates
For the RBI : Mr. Deepak Suri and Mr. K.V. Singhal, Advocates

Per: Mr. Harnam Singh Thakur, Member (Judicial)
Mr. Umesh Kumar Shukla, Member (Technical)

JUDGMENT

This is a Joint Second Motion Company Petition (hereinafter referred to as the "**Petition**") filed under Section 230-232 and 234 of the Companies Act, 2013 (hereinafter referred to as the "**Act**") read with Companies (Compromises, Arrangements and Amalgamations) Rules, 2016 (hereinafter referred to as the "**Rules**"), Foreign Exchange Management (Cross Border Merger) Regulations, 2018 (hereinafter referred to as the "**Cross Border Regulations**") and other relevant provisions for sanctioning of the Scheme of Amalgamation (hereinafter referred to as the **"Scheme"**) of **Bibby Financial Services (India) Private Limited** (hereinafter referred to as the "**Petitioner Company**" or "**Transferor Company**") with **Bibby FS (Holdings) Limited** (hereinafter referred to as the "**Non-petitioner Company**" or "**Transferee Company**") and their respective shareholders and creditors. The copy of the Scheme has been attached as Annexure P-1 of the Petition.

2. The Petitioner Company had filed First Motion Company Application bearing CA (CAA) No.54/Chd/Hry/2021 (hereinafter referred to as the "**Application**") before this Tribunal for seeking directions for dispensing with the requirement of convening of meetings of Equity Shareholders, Preference Shareholders and Creditors of the Petitioner Company, which was allowed and disposed of vide order dated 13.07.2022, with the directions to dispense with the meetings of Equity Shareholders, Preference

Shareholders, Secured and Unsecured Creditors of the Petitioner Company for the reasons mentioned in the aforesaid order.

3. In the second motion proceedings, this Tribunal vide order dated 25.08.2022, issued the following directions:

(i) The notice of hearing be advertised in “Financial Express” (English) and “Jansatta” (Hindi), both in Haryana Edition.

(ii) The Petitioner Company shall serve the notice of the petition by speed post on the following Authorities namely, (a) Central Government through Regional Director (Northern Region), Ministry of Corporate Affairs; New Delhi; (b) Concerned Registrar of Companies; (c) Concerned Official Liquidator, and (d) Jurisdictional Income Tax Authorities.

(iii) The Petitioner Company shall file an affidavit of service regarding newspaper publication with newspaper clippings as well as service of notices on the authorities specified above.

(iv) The petitioner companies shall also file an affidavit stating the objections received from public pursuant to publication of notice of hearing in the newspapers.

(v) The Registry shall also report before the date fixed as to whether any objection has been received to the proposed ‘Scheme’.

4. In compliance of the above Order, the Petitioner Company filed compliance affidavit vide Diary No. 01709/2 and Diary No. 01709/3, both dated 01.12.2022 stating that:

(i) The notices were served upon the (a) Central Government through Regional Director (Northern Region), Ministry of Corporate Affairs, New Delhi (b) Registrar of Companies, NCT of Delhi and Haryana, (c) The Official Liquidator, Punjab & Haryana at Chandigarh (d) Income Tax Department, Chandigarh. The copies of covering letter, postal receipts and delivery status reports evidencing service of notice have been attached as Annexure A-1 of the aforesaid affidavits.

(ii) The Petitioner Company have made newspaper publications in "Financial Express" (English) and "Jansatta" (Hindi) both Haryana Edition on 12.10.2022. The copies of the newspapers have been attached as Annexure A-2 and Annexure A-3 respectively of the aforesaid affidavits.

(iii) Neither the Petitioner Company nor the counsel for the Petitioner Company has received any objection pursuant to citations published in the newspapers as contemplated under Section 230 (3) of Companies Act, 2013.

5. In response to the abovementioned notices, the statutory authorities have furnished their replies which are discussed below-

6. Registrar of Companies / Regional Director

6.1 The Regional Director (hereinafter referred to as the "**RD**"), vide Dairy No 01709/5 dated 23.01.2023, has filed its report along with the report dated 27.10.2022 of the Registrar of Companies (hereinafter referred to as the "**RoC**"). The RD in its report at para 11 has referred to the observations made in the Clause 31 of RoC report and thereafter at para12 has placed the relevant para of the reply of the Petitioner Company, which have been tabulated below:

S.N.	Observations in the ROC Report	Reply of the Petitioner Company
(a)	As per Audited Financial statement of the Transferor Company for the F.Y. 2020-21, the company has nil revenue from its operations since the last two years. Hence the company is dormant u/s 455 of the Companies Act, 2013.	The Board of directors of the company in its meeting dated 27.12.2017, after careful consideration of the high NPA levels, adverse Factoring Assets Ratio and adverse Factoring Income Ratio, had decided to focus on recovery of NPAs by legal recourse as well as by amicable settlements and that till the NPAs are reduced significantly, no new business will be started. The business strategy was reviewed and confirmed in board meeting on 19.03.2019. The Company did not have any firm business plan and therefore the Board of Directors in its meeting held on 15.07.2019 decided to initiate the process of surrendering the NBFC Factors License to the Reserve Bank of India (RBI). The NBFC Factors License was voluntarily surrendered to RBI which request was accepted by the RBI. Therefore, there is no revenue from factoring business. However, the company has been engaged in collection of overdue debts/ NPAs by way of legal actions/ amicable settlements etc. The cash flows/receipts from this activity are:- Financial Year 2019-20: Rs.84,03,088/- Financial year 2020-21: Rs.1,14,65,356/- Financial Year 2021-22: Rs.1,03,62,000/-
(b)	On perusal of the record, it is observed that the transferor company has not filed its e from BEN-2 with the Registrar of Companies.	The requisite beneficial interest declarations were duly filed in form MGT-6 vide challan dated 10.04.2019. The copy of relevant form (alongwith its annexures) and challan have been enclosed.
(c)	The paper book of the application submitted with the ROC Delhi office does not contain the Certificate from the MD/WTD/CS of the company with regard to the compliance of the Cross Border Merger Regulation.	The certificate from whole time director has been enclosed with the copy of the petition as Annexure P-7 on page 95 of the petition. For ready reference, a copy of the same is again enclosed.
(d)	The auditor of the Transferor Company has stated “Emphasis Matter” in his audit report for the F.Y. 2020/21 as under: • We draw attention to note 2(b) and 2(ii) to the financial statements, which indicates that the company's Financial Statements have been prepared on a non-going	Since the company was not meeting the NBFC norms of minimum percentage criteria of financial assets and financial income for NBFC (Factors), the company reported its position to the RBI vide letters dated 26.05.2017 and 28.02.2018. Thereafter, the Company stopped booking new business and requested RBI to cancel its NBFC license, by following the prescribed

<table>
<tr><th>S.N.</th><th>Observations in the ROC Report</th><th>Reply of the Petitioner Company</th></tr>
<tr><td></td><td>concern basis, because of the reasons stated therein. Accordingly, the assets have been stated at lower of their historic cost and estimated net realizable values and the liabilities have been stated at the values at which they are expected to be discharge.
• We draw attention to note 28 to the financial statements, which indicates the company, as at 31.03.2021, does not satisfy the minimum percentage criteria of financial assets and financial income as required by NBFC to comply with Reserve Bank of India’s Notification.</td><td>process, which request was accepted by the RBI vide order dated 30th April, 2021.</td></tr>
<tr><td>(e)</td><td>The Financial Statement for the F.Y. 2020-21 for the transferor company shows that there are outstanding dues of creditors other than micro & small enterprises of Rs.42,96,568/-. However, the disclosure of with respect to the same has not been provided. Also, there are statutory dues of Rs.80,084/- and short-term provision for Gratuity of Rs.10,87,758/-. Please explain as to how such liability will be taken care of after the proposed out-bound merger with the foreign body corporate.</td><td>The break-up of the items are as below:
<table>
<tr><th>Financial Statement FY 2020-21 Current liabilities</th><th>Description</th><th>Break up Amount (Rs.)</th><th>Paid on/Present Status</th></tr>
<tr><td rowspan="6">(a) Outstanding dues of creditors other than micro and small enterprises
Rs. 42,96,568</td><td>(i) Staff Leave Travel Allowance Provision</td><td>86,250</td><td>Provision reverse on 31 July, 2021 and actual amount paid on 23 June, 2021</td></tr>
<tr><td>(ii) Statutory Auditors Fee</td><td>7,60,000</td><td>Date Paid 22nd July, 2021</td></tr>
<tr><td>(iii) Telephone Expenses-office</td><td>2,750</td><td>Provision reverse on 10th Aug., 2021 and actual amount paid on 22 July 2021</td></tr>
<tr><td>(iv) Legal Expenses</td><td>13,90,000</td><td>Surplus Provision since written Back-Present Provision-NIL</td></tr>
<tr><td>(v) Staff Incentive Provision</td><td>1,91,591</td><td>Paid on 28th Jan., 2022</td></tr>
<tr><td>(vi) Golden Hand Shake Staff-Provision</td><td>18,65,977</td><td>Partly paid to the Employee who left the Company. Current Provision as on 31st Mar., 2022 is Rs. 10,08,886</td></tr>
<tr><td></td><td>Total</td><td>42,96,568</td><td></td></tr>
<tr><td rowspan="3">(b) Other current liabilities

Rs. 80,084</td><td>(i) Statutory Dues-TDS Contractors</td><td>84</td><td>Paid on 16th April, 2021</td></tr>
<tr><td>(ii) Statutory Dues-TDS Professionals</td><td>80,000</td><td>Paid on 8th April 2021</td></tr>
<tr><td>TOTAL</td><td>80,084</td><td></td></tr>
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<tr><td>c) Short-term provisions Rs. 10,87,758</td><td>Provision for staff gratuity</td><td>10,87,758</td><td>Partly paid to the employee who left the company. Current provision as on 31st March 2022 is Rs. 10,42,615.</td></tr>
</table>
The amount shown under outstanding dues have already been paid on the respective dates reflected above and amounts, which are not payable yet are fully provided for. The company has adequate funds in the form of Fixed deposit with banks to meet these liabilities when due.
</td></tr>
<tr><td>(f)</td><td>The Transferor Company in the F.Y. 2020-21 has shown contingent liability with regard to an arbitral award decided against it. Therefore, the Transferor Company is required to explain as to how such liability will be settled after the proposed out-bound merger with the foreign body corporate.</td><td>The Company has already settled the matter. Agreed amount has already been paid and the case stood withdrawn on the basis of such settlement. A copy of the settlement agreement dated 30.07.2021 and copy of order dated 04.08.2021 passed by Hon’ble Delhi High court are enclosed.</td></tr>
<tr><td>(g)</td><td>The Transferor Company is pursuing proceedings under section 138 of the Negotiable Instruments Act for recovery of its dues, which have been declared NPA. Transferor Company needs to explain how such proceedings will be carried forward after it is dissolved.</td><td>The company had already settled the matter amicably with most of the debtors and most of the agreed amounts have been received. In some cases, repayments in accordance with the terms of settlements are being received. The company has decided to withdraw legal action in all remaining cases. The lawyers are taking necessary action to withdraw/ close the remaining legal actions.
It may be clarified that the company is being merged with the parent company, Bibby FS (holdings) Ltd. If required, the merged entity Bibby FS (Holdings) Ltd would be able to pursue all pending actions in accordance with extant laws & regulations and in accordance with the scheme of merger.</td></tr>
<tr><td>(h)</td><td>Transferor Company has stated in the notes to its financial statements for the F.Y. 2020-21 that request for its cancellation of registration as NBFC was at first denied by RBI and then later on approved. Please provide proof thereof and also state, if there is any pending regulatory action against the company.</td><td>There was an initial email from RBI that “Your request for cancellation of certificate of registration cannot be considered at the moment.”
There were no ground given and there were no objections specified. So the company wrote a representation letter attached as annexure IV. Based on the representation letter, the NBFC License was duly canceled.</td></tr>
</table>

S.N.	Observations in the ROC Report	Reply of the Petitioner Company
(i)	The transferee company to comply with the provisions of Section 232(3)(i) of the Companies Act, 2013 regarding fee payable of its revised authorized share capital.	The present scheme of amalgamation is a scheme under section 234 of the Act, wherein the company is being merged with the parent company, Bibby FS (Holdings) Ltd., which is based in UK. Since the transferee company is a company not registered under the provisions of the Companies Act, 1956/2013, the provisions of 232(3)(i) are not applicable.

6.2 It is noted that RD in the subsequent paras has not put any observation indicating his satisfaction with the reply of the Petitioner Company.

7. Income Tax Department

7.1 The Income Tax Department (hereinafter referred to as the "**ITD**") filed its report vide Diary No. 01709/8 Dated 20.11.2023 for the Petitioner Company stating that the present status of outstanding tax liability is NIL in the case of the Transferor Company. However, without prejudice to the above, liquidation process should in no manner affect the tax treatment of the transaction under Income Tax Act, 1961 or any other applicable taxing statute, nor would sanction of the scheme or the effect thereof serve as defence for the companies concerned against tax treatment under the aforementioned statutes. Further, the income tax department must be permitted to retain its recourse for recovery in respect of any future tax liabilities of the above said company at any time.

8. Official Liquidator

8.1 The Official Liquidator (hereinafter referred to as the "**OL**") has filed its report vide a Diary No.01709/06 Dated 07.02.2023. The OL, in his report at para 13 of the report has stated this Office of OL, vide letter no. OL-CHD/BFSIPL/US-230-232/2740 dated 01.12.2022, had asked further information and clarification and in response to

the above said letter, Transferor Company has submitted the reply, which have been tabulated below:

<table>
<tr><th>S.N.</th><th>Observations in the OL Report</th><th>Reply of the Petitioner Company</th></tr>
<tr><td>1.</td><td>Provide your comments, the M/s Bibby Financial Services (India) Ltd. a going concern when the financial statements of the company is showing losses and no revenue during the previous two years i.e. for the period 2020-21 and 2021-2022, which is also flagged by the Auditor of the company in its Auditor Report for the Financial year 2020-21.</td><td>The Board of directors of the company in its meeting dated 27.12.2017, after careful consideration of the high NPA levels, adverse Factoring Assets Ratio and adverse Factoring Income Ratio, had decided to focus on recovery of NPAs by legal recourse as well as by amicable settlements and that till the NPAs are reduced significantly no new business will be started. The business strategy was reviewed and confirmed in board meeting on 19.03.2019. The Company did not have any firm business plan and therefore the Board of Directors in its meeting held on 15.07.2019 decided to initiate the process of surrendering the NBFC Factors License to the Reserve Bank of India (RBI). The NBFC Factors License was voluntarily surrendered to RBI which request was accepted by the RBI. Therefore, there is no revenue from the factoring business. However, the company has been engaged in collection of Overdue debts/NPAs by way of legal Actions/Amicable settlements etc. The cash flows/ receipts from this activity are:-
Financial Year 2019-20 Rs. 84,03,088/-
Financial year 2020-21 Rs. 1, 14,65,356/-
Financial Year 2021-22 Rs. 1,03,62,000/-</td></tr>
<tr><td>2.</td><td>Whether any business activities is performed during previous two years i.e. year ending and 2022 as major part of income from other sources is only profit from the sale of assets no other business income is earned during the years.</td><td>As stated in point no. 1 above, the company has been engaged in collection of Overdue debts/ NPAs by way of legal Actions/ Amicable settlements etc. The cash flows/receipts from this activity are:-
Financial Year 2019-20 Rs. 84,03,088/-
Financial year 2020-21 Rs. 1,14,65,356/-
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<tr><td>3.</td><td>Provide the audited/ provisional financial statements for the financial year 2021-22.</td><td>The audited financial statements for the financial year 2021-22 have been annexed as Annexure 1.</td></tr>
<tr><td>4.</td><td>Provide the details of the creditors other than micro and small enterprises of</td><td>The breakup of the items are as below:<table><tr><td>Financial</td><td>Description</td><td>Break up</td><td>Paid on/Present</td></tr></table></td></tr>
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<tr><th>S.N.</th><th>Observations in the OL Report</th><th>Reply of the Petitioner Company</th></tr>
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<tr><th>Statement FY 2020-21 Current liabilities</th><th></th><th>Amount (Rs.)</th><th>Status</th></tr>
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We wish to further state that amount shown under outstanding dues have already been paid on the respective dates reflected above and amounts which are not payable yet are fully provided for. The company has adequate funds in the form of Fixed deposit with banks to meet these liabilities when due.</td></tr>
<tr><td>5.</td><td>Provide the fate of the creditors of the transferor company i.e. statutory dues, provisions for gratuity after proposed amalgamation.</td><td>We wish to submit that as on date, there are no statutory dues outstanding. Any statutory dues, arising in future, if any, till the date of passing of order by NCLT will be paid off before giving effect to merger of the Company. As regards employees of the company, their interest shall be protected in</td></tr>
</table>

S.N.	Observations in the OL Report	Reply of the Petitioner Company
		accordance with the scheme of amalgamation and all their dues, including gratuity etc. will be paid off before giving effect to merger of the company. Adequate provisions have been made in the books of the company for all such liabilities. The company has sufficient unencumbered funds invested in bank deposits which are adequate to meet all such liabilities.

8.2 It is noted that OL in the subsequent paras has not put any observation indicating his satisfaction with the clarification of the Petitioner Company.

8.3 The OL in its report has also referred to the observations in the independent Auditor's Reports of M/s Deloitte Haskins & Sell, Chartered Accountant, New Delhi attached with the Balance Sheet as on 31.03.2021 of the Transferor Company as under:

> (A) Emphasis of matter:
>
> 1) We draw attention to note:1(b) and 2(ii) to the financial statements, which indicates that the Company financial statements have been prepared on a non going concern basis because of the reason stated therein. Accordingly, the assets have been stated as lower of their historic cost and estimated net realizable values and the liabilities have been stated at the values at which they are expected to be discharged.
>
> 2) We draw attention to note 28 to the financial statements which indicates that the Company as at 31.03.2021 does not satisfy the minimum percentage criteria of financial assets and financial income as required by NBFCs to comply with the Reserve Bank of India notification.

8.4 It is noted that OL in its report at para 1 has indicated that Transferee Company was incorporated under the Laws of England and Wales. At present the registered office of the Transferee Company is situated at 3rd floor, Walker House Exchange Flags, Liverpool, L 23yl, England after merger there will be no entity/ jurisdiction left in India for legal/arbitration matters.

8.5 Thereafter, it is prayed in the OL report that the matter may be decided on merits of the case by this tribunal.

9. This Tribunal, vide its order dated 13.06.2024, sought certain clarification. In compliance with the above Order, the Petitioner Company filed additional submissions vide Diary No. 01709/9 dated 27.06.2024. The clarifications sought by this Tribunal and the reply of the Petitioner Company thereto, have been tabulated below:

Clarifications sought by this Tribunal	**Reply of the Petitioner Company**
Regional Director, Ministry of Corporate Affairs, in its report filed vide Diary No.1709/5 dated 23.01.2023 has pointed out that in reply to the observations of Report of the Registrar of Companies dated 27.10.2022 with regard to outstanding dues of creditors, statutory liabilities, short-term provisions and contingent liabilities, Petitioner Company has submitted that these liabilities have been paid. It is noted that in the First Motion Application, the Applicant Company had submitted a Certificate dated 03.09.2021 of CA Deepak Chopra, Partner of Bhambri Chopra & Pashkarna, Chartered Accountants certifying Nil Secured and Unsecured Creditors as on 10.08.2021. However, the perusal of Audited Financial Statements as on 31.03.2021 as well as provisional Financial Statements as on 31.12.2022 shows the liabilities.	The outstanding liabilities/provisions of the Transferor/ Petitioner Company as shown in the Provisional balance sheet of the Transferor/Petitioner Company as on 31.12.2021 were subsequently paid/ excess provisions written back. A tabular statement showing the same and supporting documents thereof are attached as Annexure A and B respectively. The audited Financial statements of the Petitioner/Transferor Company for the financial year 2021-22 and the financial year 2022-23 are enclosed as Annexure C and D respectively. It is submitted that the outstanding liabilities/provisions of the transferor/Petitioner company as shown in Audited Financial Statement as on 31.03.2023 have also been subsequently paid/ excess provisions written back (except for provisions made for employees benefits/professional charges). A tabular statement showing the same and supporting documents are annexed as Annexure E and F respectively.
As per Regulation 9(2) of Foreign Exchange Management (Cross Border Merger) Regulations, 2018, a certificate from the Managing Director/Whole Time	The revised certificate of compliance in terms of Regulation 9(2) of the Foreign Exchange Management (Cross Border Merger Regulations), 2018 dated March 20, 2018 jointly signed by Mr. Anoop Kumar Prabhakar,

Clarifications sought by this Tribunal	Reply of the Petitioner Company
Director and Company Secretary, if available, of the company(ies) concerned ensuring compliance to these Regulations shall be furnished along with the application made to the NCLT under the Companies (Compromises, Arrangement or Amalgamation) Rules, 2016. However, the certificate has been furnished only by Anoop Kumar Prabhakar, Director of the Applicant Company and not by the Company Secretary. The Petitioner Companies are directed to file the appropriate certificate(s) as prescribed under the above rules of the companies signed by the Managing Director/Whole Time Director and Company Secretary.	Whole Time Director and Ms. Deepa, Company Secretary of the Transferor/ Petitioner Company is annexed as Annexure H. A copy of the Company's Master data as available on MCA website showing Mr. Anoop Kumar Prabhakar as Whole Time Director and Ms. Deepa as Company Secretary of the Transferor/Petitioner Company is annexed as Annexure I. A similar certificate duly signed by the Whole Time Director of the Transferee Company is annexed as Annexure J. It is further submitted that the Transferee Company is registered under the Laws of England and Wales and it has already complied with the procedure for approval of the Scheme as required under the Laws of England and Wales. A Copy of the Certificate from the Counsel of the Transferee Company confirming that the Compliances required under the Laws of England and Wales for the approval of the Scheme have been complied, which has been attached as Annexure A-4 with the First Motion Application CA (CAA) 54/CHD/HRY/2021 and also as Annexure P-9 with the Second Motion Petition.
The Regulation 9(2) of Foreign Exchange Management (Cross Border Merger) Regulations, 2018 provides for exemption for Cross Border Merger only under section 234 of the Companies Act, 2013. However, it is noted that the applicant company was holding the NBFC license up to 30.04.2021 (appointed date 01.04.2021) and Reserve Bank of India (RBI) would be the sectoral regulator in the case and notice to RBI needs to be issued under section 230(5) of the Companies Act, 2013. Therefore, notice may be served upon the RBI pursuant to Section 230(5) of the Companies Act, 2013 read with Rule 8 of the Companies (Compromises, Arrangements and Amalgamations) Rules, 2016. The	As regards issuance to notice to the Reserve Bank of India ("RBI") as sectoral regulator, it is submitted that the Transferor/Petitioner Company discontinued the business of NBFC and filed an application with the RBI on 14.08.2019 to surrender its NBFC Registration/License. The Transferor/ Petitioner Company also changed its main objects to carry on consultancy services which is evident from the copy of Memorandum of Association of the Transferor/Petitioner Company which was annexed with the First Motion Application CA (CAA) 54/CHD/HRY/2021 and was marked as Annexure A-5. The RBI, after complete scrutiny and after ensuring that the Petitioner/Transferor Company was in compliance with all applicable rules and regulations, vide its order dated 30.04.2021, confirmed the acceptance of surrender/cancellation of Transferor/Petitioner Company's NBFC Registration/License. This is also evident from para 3 & 4

Clarifications sought by this Tribunal	Reply of the Petitioner Company
representation/s, if any, may be made by the RBI to this Tribunal with a copy to the petitioner Company(ies), within a period of 30 days from the date of receipt of the notice, failing which it shall be presumed that they have no representation to make on the proposed Scheme and this tribunal will proceed further with the approval of the Scheme.	on page 2 of the RBI's order. Had there been any non-compliance on the part of the Petitioner/Transferor Company, the RBI would not have accepted the surrender/cancellation of the Petitioner Company's NBFC Registration/License. A copy of the RBI's order dated 30.04.2021 was annexed with the First Motion Application CA (CAA)54/ CHD/HRY/2021 and was marked as Annexure A-8. After the surrender/ cancellation of NBFC Registration/License by RBI, RBI ceased to be the sectoral regulator in respect of the Petitioner/Transferor Company. The said surrender/cancellation of NBFC Registration/ License dates/ relates back to 14.08.2019 i.e. the date when the application was filed by the Petitioner/ Transferor Company with the RBI to surrender its NBFC Registration/License. The Scheme of Amalgamation was approved by the Board of Directors on 29.06.2021 i.e. only after the receipt of RBI's order dated 30.04.2021. It is clarified that the Appointed Date in the Scheme of Amalgamation was mentioned as 01.04.2021 due to the reason that the last audited balance sheet available at the time of filing of first motion application was of 31.03.2021. The present petition was filed by the Transferor /Petitioner Company after the surrender/cancellation of the NBFC Registration/License and since the RBI ceased to be the sectoral regulator, notice of the petition was not required to be issued to RBI. This position was also accepted by the Hon'ble NCLT, Chandigarh Bench vide Order dated 25.08.2022 while ordering for issuance of Notices in the present Second Motion in this matter. A Copy of the said Order is attached as Annexure K.

10. Thereafter, vide order dated 02.07.2024, the clarifications submitted by the Petitioner Company was taken on record and the Petitioner Company was directed to send a notice to RBI, in compliance of the order dated 13.06.2024 and if no reply is received from RBI within 30 days, the said fact may be informed to the Tribunal.

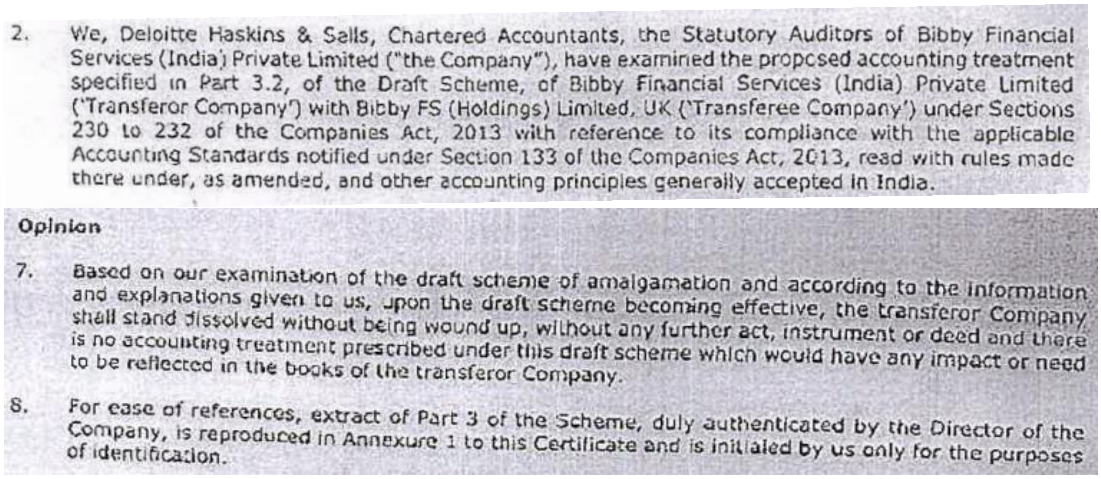
11. In compliance of the same, the Petitioner Company filed affidavit vide Diary No. 01709/10 dated 23.07.2024 stating that the notice of the Petition has been served to RBI on 09.07.2024 and copies of the covering letter, postal receipt and delivery were attached with the Compliance Affidavit as Annexure A-1. Further, affidavit to the effect that neither the petitioner company nor its counsel received any reply from Reserve Bank of India has been filed vide diary No.01709/11 dated 19.08.2024 The same was taken on record vide order dated 23.08.2024 and counsel for the company was directed to send a reminder and inform the next date of hearing to RBI/counsel for the RBI through email and place that copy of email with affidavit on record. Advocate K.V. Singhal, who has appeared on behalf of RBI in other cases was also directed to inform the next date of hearing to RBI.

12. In pursuance of the above order, the Petitioner Company filed an affidavit proving service of notice of petition to the RBI and counsel for the RBI through email vide Diary No. 01709/12 dated 17.09.2024. The same was taken on record by this Tribunal vide Order dated 09.10.2024. The statement by way of affidavit on behalf of RBI was also filed vide diary no. 01709/13 dated 07.10.2024 and was taken on record vide order dated 09.10.2024. The relevant excerpt of the affidavit filed on behalf of RBI is reproduced below-

> *"The Reserve Bank of India has no objection to the said amalgamation scheme, and it is observed from the financial statements for the Financial Years 2021-22, 2022-23 and 2023-24 that the company did not carry on any NBFC business during those years."*

13. It is noted that the Resulting Company furnished a certificate from the counsel of the Transferee Company stating that the compliances under the laws of England and Wales for approval of the scheme have been complied with.

14. The certificate of the M/s Deloitte Haskins & Sell, Chartered Accountant, New Delhi Statutory Auditors of the Petitioner Company certifying that the accounting treatment in the proposed Scheme of Amalgamation is not in violation of Accounting Standards has been annexed with the Petition as Annexure-P-6. The relevant extract of the certificate are reproduced below:



2. We, Deloitte Haskins & Sells, Chartered Accountants, the Statutory Auditors of Bibby Financial Services (India) Private Limited ("the Company"), have examined the proposed accounting treatment specified in Part 3.2, of the Draft Scheme, of Bibby Financial Services (India) Private Limited ('Transferor Company') with Bibby FS (Holdings) Limited, UK ('Transferee Company') under Sections 230 to 232 of the Companies Act, 2013 with reference to its compliance with the applicable Accounting Standards notified under Section 133 of the Companies Act, 2013, read with rules made there under, as amended, and other accounting principles generally accepted in India.

Opinion

7. Based on our examination of the draft scheme of amalgamation and according to the information and explanations given to us, upon the draft scheme becoming effective, the transferor Company shall stand dissolved without being wound up, without any further act, instrument or deed and there is no accounting treatment prescribed under this draft scheme which would have any impact or need to be reflected in the books of the transferor Company.

8. For ease of references, extract of Part 3 of the Scheme, duly authenticated by the Director of the Company, is reproduced in Annexure 1 to this Certificate and is initialed by us only for the purposes of identification.

Findings and Analysis

15. We have heard the learned Counsel for Petitioner Companies and learned counsels for the statutory authorities/ sectoral regulators and perused the record carefully.

16. Subject to the Petitioner Companies complying with the requirement of various laws including the rules, and regulations, the permission is hereby granted to the Scheme of Amalgamation proposed by the Petitioner Company under Sections 230 to 232 and 234 of the Companies Act, 2013. The sanctioned Scheme of Amalgamation shall be binding on the Transferor Company (Petitioner Company) and their Shareholders and Creditors. The Petitioner Company shall remain bound to comply with all the statutory requirements in accordance with law.

17. Notwithstanding the submission that no investigation is pending against the Petitioner Company, if there is any deficiency found or, violation committed qua any enactment, statutory rule or regulation, the sanction granted by this Tribunal will not come in the way of action being taken, albeit, in accordance with law, against the concerned persons, directors and officials of the petitioners.

18. While approving the scheme as above, it is clarified that this order should not be construed as approval by any statutory authorities viz. RBI, SEBI, CCI etc. or any sectoral regulator; or construed as an order in any way granting exemption from payment of stamp duty, taxes or any other charges or payment, if any, due or required in accordance with law or in respect to any permission/compliance with any other requirement which may be specifically required under any law. Further, the approval of the scheme would in no manner affect the tax treatment of the transactions under the Income Tax Act, 1961, or serve as any exemption or defense for the Petitioner Company against Tax Treatment in accordance with the provisions of the Income Tax Act, 1961 and the rules and regulations made there under.

19. The Sanction of the Scheme is subject to compliance by the Transferor and Transferee Companies of the Foreign Exchange Management Act, 1999; Foreign Exchange Management (Cross Border Merger) Regulations, 2018 and any other Act, Rules, and Regulations governing the any issue related to merger in the present case as well as Cross Border Merger more particularly outbound merger.

20. The Petitioner Company in clause 1.2 of the scheme states that the Appointed Date means commencement of business on 1st April, 2021 or such other date as may be directed by the Hon'ble Tribunal. As the order is being issued in December 2024,

we find it unreasonable to fix the appointed date as 01.04.2021. Therefore, exercising the discretion, we fix the appointed date as 01.04.2024.

21. **THIS TRIBUNAL DO FURTHER ORDER:**

(i) Upon the sanction becoming effective from the appointed date of amalgamation i.e. 01.04.2024, the Transferor Company shall stand dissolved without undergoing the process of winding up;

(ii) All the property, rights and powers of the Transferor Company be transferred, without further act or deed, to the Transferee Company and accordingly, the same shall pursuant to Sections 230 & 232 of the Act, be transferred to and vested in the Transferee Company for all the estate and interest of the Amalgamating Companies, but subject nevertheless to all charges now affecting the same;

(iii) All the liabilities and duties of the Transferor Company be transferred, without further act or deed, to the Transferee Company and accordingly the same shall pursuant to Sections 230 to 232 of the Act, be transferred to and become the liabilities and duties of the Transferee Company;

(iv) The Transferor Company is the wholly owned subsidiary of the Transferee Company, therefore, upon scheme becoming effective, the share capital of the Transferor Company shall stand automatically cancelled and extinguished, without any question of allotment of shares of the Transferee Company.

(v) All proceedings pending, if any, by or against the Transferor Company be continued by or against the Transferee Company;

(vi) All the employees of the Transferor Company shall be deemed to have become the employees and the staff of the Transferee Company with effect from the Appointed Date, and shall stand transferred to the Transferee Company without any interruption of service and on the terms and conditions no less favourable than those on which they are engaged by the Transferor, as on the Effective Date, including in relation to the level of remuneration and contractual and statutory benefits, incentive plans, terminal benefits, gratuity plans, provident plans and any other retirement benefits;

(vii) All the tax liabilities and all the pending appeals and proceedings under the Income Tax Act, if pending against the Transferor Company is transferred to the Transferee Company and shall be enforced and continued against the Transferee Company and all compliances under Income Tax Act, 1961 shall be made by Transferee Company after the Appointed Date. Further, the Income Tax department is permitted to retain its recourse for recovery in respect of demand and any other future liabilities of the Transferor Company as well as the Transferee Company, in respect of the assets sought to be transferred under the proposed scheme. The Transferee Company is also directed to discharge the outstanding demand, if any, found later against the Transferor and Transferee Companies.

(viii) Without prejudice to the above, liquidation process should in no manner affect the tax treatment of the transaction under Income Tax Act, 1961 or any other applicable taxing statute, nor would sanction of the scheme or the effect thereof serve as defence for the companies concerned against tax treatment under the aforementioned statutes. Further, the income tax

department is permitted to retain its recourse for recovery in respect of any future tax liabilities of the above said company at any time.

(ix) The Transferee Company will clear all the pending statutory dues after exercising all Appellate jurisdictions and as per final orders. The Scheme shall not come in the way of the statutory authorities to recover any of their dues. All the contentions of the parties shall remain open before the relevant forum(s), where disputes are pending;

(x) The Transferor Company, before the effective date shall clear all the outstanding liabilities including contingent liabilities and guarantees, if any, pending on the date of this order and the RoC concerned would ensure this compliance while giving final effect to this Order;

(xi) The Transferee Company shall open a Special Non-Resident Rupee Account (SNRR Account) in accordance with the Foreign Exchange Management (Deposit) Regulations, 2016 for the purpose of putting through transactions under these Regulations. The account shall run for a period of two years from the date of sanction of the Scheme by NCLT.

(xii) The Transfer and Transferee Companies shall ensure that regulatory actions, if any, prior to merger, with respect to non-compliance, contravention, violation, as the case may be, of the Act or the Rules or the Regulations framed there under shall be completed.

(xiii) The Transferor and Transferee Companies shall furnish the reports, if any, as may be prescribed by the Reserve Bank, in consultation with the Government of India.

(xiv) Any person interested shall be at liberty to apply to the Tribunal in the above matter for any directions that may be necessary;

(xv) As per the above directions, Form No. CAA.7 of Companies (Compromises, Arrangements and Amalgamations) Rules, 2016, formal orders be issued on the Petitioner Company filing the schedule of properties within three weeks from the date of receiving copy of this order.

22. The Petitioner Company shall, within 30 days after the date of receipt of this order, cause a certified copy of this order to be delivered to the Registrar of Companies for registration in prescribed form and on such certified copy being so delivered;

23. The certified copy of this order, if applied for, be supplied to the parties, subject to compliance with all requisite formalities.

24. The Company Petition CP (CAA) No.58/Chd/Hry/2022 is disposed of accordingly.

Sd/-
(Umesh Kumar Shukla)
Member (Technical)

Sd/-
(Harnam Singh Thakur)
Member (Judicial)

December 04, 2024
Vansh